After stepping down from the Reserve Bank, I reflected on my efforts at communication during this crisis period. Some people have told me that I was right on the message but wrong on the timing. In other words, I should have deferred the message till after the pressure had subsided, and focused, during the crisis, only on building confidence. I am not persuaded that this would have been the right strategy. My message was clearly situated in the context of the crisis and aimed at managing expectations. If that message had to be effective, it had to be given during the crisis.

The Endgame

Notwithstanding the exchange rate defence launched by the Reserve Bank, the bloodletting continued into August 2013. Adding to the domestic and external economic factors, political economy developments too came into play. The most significant was the threat of armed intervention in Syria in mid-August 2013 which caused crude oil prices to spike, and renewed the stampede of capital out of emerging markets. These developments sent the rupee to its trough on 28 August when it sank 21 per cent below its 1 May level.

Several factors helped the recovery of the rupee starting early September. By far the most important was that the adjustment had run its course; second, the risk of a flare-up in Syria abated; third, the Fed announced that it was postponing the taper indefinitely.

Finally, the scheduled leadership change at the Reserve Bank and the formidable reputation of my successor, Raghuram Rajan, helped restore confidence in the Indian markets. In fact, as chief economic adviser to the government, Raghu was on board all through the exchange rate turmoil and was more actively involved in all the decisions after he was named in early August as my successor.

As we approached the close of my term in the first week of September, Raghu and I had both agreed that the next steps should be to open a special forex window for oil companies and incentivize our commercial banks to raise tier-2 capital through their branches and subsidiaries abroad, and swap